

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 3175

By: Archer, **Luttrell**, and **Moore**
of the House

and

Dossett of the Senate

9 COMMITTEE SUBSTITUTE

10 [nuclear energy - Office - duties - gifts - project
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1 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

2 SECTION 1. NEW LAW A new section of law to be codified
3 in the Oklahoma Statutes as Section 10.10 of Title 74, unless there
4 is created a duplication in numbering, reads as follows:

5 As used in this act:

6 1. "Advanced nuclear project" means an electric generation
7 facility that relies on an advanced nuclear reactor to generate
8 power, steam, or heat, a nuclear fuel cycle facility that supplies
9 advanced nuclear reactors, or associated technologies supporting the
10 advanced nuclear energy industry;

11 2. "Advanced nuclear reactor" means a range of nuclear reactor
12 technologies determined by the United States Regulatory Commission
13 to be either of generation III+ or generation IV, including large
14 light water reactors, small modular reactors, microreactors, and
15 nuclear cogeneration;

16 3. "Construction permit" means a permit issued by the
17 Regulatory Commission for the construction of:

- 18 a. a nuclear production or utilization facility, or
19 b. a research or test reactor that contributes to the
20 future commercialization of that research or test
21 reactor technology;

22 4. "Director" means the Director of the Advanced Nuclear Energy
23 Office;

24

1 5. "License" means a license issued by the Regulatory
2 Commission that authorizes the license holder to construct and
3 operate a nuclear power facility, such as a nuclear plant at a
4 specific site, with specified conditions;

5 6. "Office" means the Oklahoma Advanced Nuclear Energy Office
6 established under Section 2 of this act;

7 7. "Regulatory Commission" means the United States Nuclear
8 Regulatory Commission; and

9 8. "Utility Commission" means the Oklahoma Corporation
10 Commission.

11 SECTION 2. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section 10.11 of Title 74, unless there
13 is created a duplication in numbering, reads as follows:

14 A. There is hereby created the Oklahoma Advanced Nuclear Energy
15 Office. The Office shall be an office administratively housed
16 within the Governor's office and shall be assigned to the Oklahoma
17 Secretary of Energy and Environment.

18 B. The purposes of the Office are to provide statutory and
19 regulatory readiness for advanced nuclear energy and to:

20 1. Provide strategic leadership for the advanced nuclear
21 reactor system in this state;

22 2. Promote the development of advanced nuclear reactors for
23 dispatchable electric generation while creating high-wage advanced
24 manufacturing jobs in this state;

1 3. Advance innovative nuclear energy generation technologies
2 while delivering safe, reliable, and clean energy solutions that
3 address the state's growing demand;

4 4. Enhance the state's energy security, foster economic growth,
5 and ensure the safety of future nuclear energy generation
6 development;

7 5. Identify barriers to the financial viability of nuclear
8 energy generation and regulatory and licensing complexities that
9 increase risk to developers of nuclear energy;

10 6. Leverage the expertise and capacity of institutions of
11 higher education, the nuclear energy industry, the industrial
12 manufacturing sector, and regulatory stakeholders to develop a
13 comprehensive strategic plan to ensure the development of advanced
14 nuclear energy and associated technologies in this state; and

15 7. Support the development of an advanced nuclear energy supply
16 chain and associated technologies in this state.

17 C. The Office shall:

18 1. Develop and propose a comprehensive statutory and regulatory
19 framework for advanced nuclear energy. The statutory and regulatory
20 framework developed by the Office shall be substantive and ready for
21 implementation;

22 2. Draft and recommend rules addressing areas of state
23 jurisdiction not preempted by the United States Nuclear Regulatory
24 Commission;

1 3. Coordinate with the Oklahoma Corporation Commission;

2 4. Identify any statutory gaps requiring legislative action;

3 5. Submit completed statutory and regulatory framework and
4 recommendations for advanced nuclear energy to the Governor, Speaker
5 Pro Tempore of the Oklahoma State Senate, the Speaker of the
6 Oklahoma House of Representatives, and the Oklahoma Corporation
7 Commission, by December 1, 2027.

8 D. The Office may not accept a gift, grant, or loan from or
9 contract with an applicant for or a beneficiary of a grant provided
10 pursuant to this act.

11 E. The Office may not require an advanced nuclear project to be
12 located in a specific location.

13 F. The Office may promulgate rules as necessary to carry out
14 the provisions of this act.

15 G. The Oklahoma Corporation Commission shall promulgate rules
16 within its constitutional and statutory jurisdiction to implement
17 the regulatory framework provided by the Office. The Corporation
18 Commission shall not be compelled to adopt specific draft language
19 provided by the Office, but shall initiate rulemaking following
20 submission of completed regulatory framework. Nothing in this act
21 shall be construed to limit, impair, supersede, or otherwise affect
22 the constitutional or statutory authority of the Oklahoma
23 Corporation Commission over public utilities, electric generation
24

1 facilities, transmission providers, natural gas utilities, or any
2 other entity subject to its jurisdiction.

3 SECTION 3. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 10.12 of Title 74, unless there
5 is created a duplication in numbering, reads as follows:

6 A. The Governor shall appoint a Director of the Oklahoma
7 Advanced Nuclear Energy Office or may assign the duties of the
8 Director to the Oklahoma Secretary of Energy and Environment. The
9 Director shall serve at the pleasure of the Governor.

10 B. The Director shall have demonstrated:

- 11 1. Experience in the field of advanced nuclear energy; and
12 2. Executive and organizational ability.

13 C. The Director shall not have any direct or indirect interests
14 that substantially conflict with the Director's duties.

15 D. The Director shall:

- 16 1. Manage the affairs of the Office;
17 2. Administer programs established by this act; and
18 3. Establish appropriate milestones and standards to ensure
19 proper use of money pursuant to this act.

20 E. The Director may hire staff as necessary to implement the
21 duties of the Office pursuant to this act.

22 SECTION 4. NEW LAW A new section of law to be codified
23 in the Oklahoma Statutes as Section 10.13 of Title 74, unless there
24 is created a duplication in numbering, reads as follows:

1 Not later than December 1 of each even-numbered year, the
2 Director of the Oklahoma Advanced Nuclear Energy Office shall submit
3 to the Governor, the President Pro Tempore of the Oklahoma State
4 Senate, and the Speaker of the Oklahoma House of Representatives a
5 strategic plan for furthering the goals, purposes, and objectives
6 established by this act.

7 SECTION 5. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section 10.14 of Title 74, unless there
9 is created a duplication in numbering, reads as follows:

10 A. The Director of the Oklahoma Advanced Nuclear Energy Office
11 may employ a Nuclear Permitting Coordinator to assist businesses
12 throughout the nuclear energy permitting and regulatory process.

13 B. A Nuclear Permitting Coordinator shall have a demonstrated
14 familiarity with the permitting and regulatory process in this
15 state.

16 C. The Nuclear Permitting Coordinator shall:

17 1. Act as a single point of contact for stakeholders during the
18 nuclear energy permitting and regulatory process;

19 2. Identify active or likely siting opportunities and required
20 permits and approvals for nuclear energy generation sites and key
21 personnel; and

22 3. Provide guidance for regulated persons navigating local,
23 state, and federal regulations for nuclear energy generation
24 facilities.

1 D. The Nuclear Permitting Coordinator shall make any assistance
2 provided under this section equally available to all businesses
3 engaged in the nuclear energy permitting and regulatory process.

4 E. The Nuclear Permitting Coordinator shall document all
5 activities carried out in the provision of assistance under this
6 section and make that information available to the public on
7 request.

8 SECTION 6. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section 10.15 of Title 74, unless there
10 is created a duplication in numbering, reads as follows:

11 There is hereby created in the State Treasury a revolving fund
12 for the Oklahoma Advanced Nuclear Energy Office, established under
13 Section 2 of this act, to be designated the "Oklahoma Advanced
14 Nuclear Development Revolving Fund". The fund shall be a continuing
15 fund, not subject to fiscal year limitations and shall consist of
16 such sources as may be provided by law and any available federal
17 funding. All monies accruing to the credit of the fund shall be
18 budgeted and expended by the Oklahoma Advanced Nuclear Energy Office
19 for the purposes provided by this section. No monies may be
20 expended absent a specific legislative authorization. Subject to
21 the availability of funding, the Oklahoma Advanced Nuclear Energy
22 Office shall utilize the fund for the restricted purposes of
23 providing reimbursement-based grants to eligible businesses,
24 nonprofit organizations, and governmental entities, including

1 institutions of higher education, through the programs established
2 in this act and to pay for reasonable and necessary costs for staff
3 support necessary to facilitate the work of the Oklahoma Advanced
4 Nuclear Energy Office. Expenditures from the fund shall be made
5 upon warrants issued by the State Treasurer against claims filed as
6 prescribed by law with the Director of the Office of Management and
7 Enterprise Services for approval and payment.

8 SECTION 7. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section 10.16 of Title 74, unless there
10 is created a duplication in numbering, reads as follows:

11 A. The Oklahoma Advanced Nuclear Energy Office shall establish
12 grant programs under this act and the Director shall administer
13 those programs. However, grants may not be awarded until the
14 regulatory framework required by Section 2 of this act has been
15 completed and submitted and the Oklahoma Corporation Commission has
16 promulgated necessary rules within its jurisdiction.

17 B. The Office may provide a grant, subject to the availability
18 of funds specifically appropriated by the Legislature, pursuant to
19 this act only to reimburse expenses paid by a recipient using the
20 recipient's own funds. No grant shall be awarded absent a specific
21 legislative appropriation for that fiscal year. An applicant for a
22 grant under the provisions of this act may have received financial
23 assistance or incentives from a local, state, or federal source, but
24 the Office may not provide a grant pursuant to this act to reimburse

1 expenses paid by a recipient or the recipient's project partner
2 using financial assistance or incentives from the local, state, or
3 federal source. An applicant shall provide the Office with detailed
4 information regarding any financial assistance or incentives
5 requested or received for the project for which it is requesting
6 grant funds.

7 C. An applicant that has received state-appropriated money for
8 an advanced nuclear reactor is not eligible to receive a grant under
9 Section 9 of this act.

10 D. The Office shall submit to the President Pro Tempore of the
11 Oklahoma State Senate and the Speaker of the Oklahoma House of
12 Representatives a notice of each grant the Office proposes to
13 approve. The Office may not approve the grant if either of those
14 officers submit a written communication to the Office disapproving
15 the grant on or before the thirtieth day after the date the Office
16 submits the notice of the proposed grant to those officers. The
17 President Pro Tempore of the Oklahoma State Senate or Speaker of the
18 Oklahoma House of Representatives may extend the review deadline for
19 an additional fourteen (14) days by submitting a written notice to
20 that effect to the Office before the expiration of the initial
21 review period.

22 E. Before awarding a grant pursuant to this act, the Office
23 shall enter into a written agreement with the grant applicant. A
24 written agreement under this subsection shall:

1 1. Specify benchmarks and milestones for the completion of the
2 project for which the grant is provided; and

3 2. Require the grant recipient to repay to the state any money
4 received from the grant if the recipient fails to reach the
5 specified benchmarks.

6 F. The Office may not during a state fiscal year award out of
7 money appropriated for grants pursuant to this act a total amount
8 greater than:

9 1. Twenty percent (20%) of the appropriated money for grants
10 provided under Section 8 of this act; and

11 2. Eighty percent (80%) of the appropriated money for grants
12 provided under Section 9 of this act.

13 SECTION 8. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 10.17 of Title 74, unless there
15 is created a duplication in numbering, reads as follows:

16 A. The Oklahoma Advanced Nuclear Energy Office may, subject to
17 the availability of funds specifically appropriated by the
18 Legislature, provide a reimbursement grant from the Oklahoma
19 Advanced Nuclear Development Revolving Fund, created in Section 6 of
20 this act, pursuant to this section for the expenses associated with
21 or required for initial development of an advanced nuclear project
22 in this state. However, grants may not be awarded until the
23 regulatory framework required by Section 2 of this act has been
24 completed and submitted and the Oklahoma Corporation Commission has

1 promulgated necessary rules within its jurisdiction. No grant shall
2 be awarded absent a specific legislative appropriation for that
3 fiscal year.

4 B. Expenses that qualify for reimbursement under this section
5 are limited to expenses attributable or allocable to:

6 1. Technology development, including university technology
7 development;

8 2. Feasibility studies;

9 3. Site planning, including conceptual site-specific
10 engineering studies;

11 4. Front-end engineering design;

12 5. Site and environmental characterization;

13 6. Regulatory commission early site permit work;

14 7. Preparation of the construction permit or license
15 application to the Regulatory Commission;

16 8. Developing manufacturing capacity and readiness;

17 9. Fuel processing, manufacturing, and fabrication activities
18 essential to the fuel cycle supply;

19 10. Preparation of local, state, and nonregulatory commission
20 federal permits; and

21 11. Regulatory Commission licensing fees.

22 C. To be eligible for a reimbursement grant under this section,
23 an applicant shall provide with an application proof of incurred
24 expenses described by subsection B of this section.

1 D. A grant provided under this section may not exceed the
2 lesser of:

3 1. Fifty percent (50%) of the amount of qualifying expenses
4 associated with the project; or

5 2. Twelve Million Five Hundred Thousand Dollars
6 (\$12,500,000.00).

7 E. The Office by rule shall establish procedures for the
8 application for and provision of a grant pursuant to this section.

9 SECTION 9. NEW LAW A new section of law to be codified
10 in the Oklahoma Statutes as Section 10.18 of Title 74, unless there
11 is created a duplication in numbering, reads as follows:

12 A. The Oklahoma Advanced Nuclear Energy Office may provide a
13 reimbursement grant, subject to the availability of funds
14 specifically appropriated by the Legislature, from the Oklahoma
15 Advanced Nuclear Development Revolving Fund, created in Section 6 of
16 this act, pursuant to this section for expenses associated with the
17 construction of an advanced nuclear project in this state. However,
18 grants may not be awarded until the regulatory framework required by
19 Section 2 of this act has been completed and submitted and the
20 Oklahoma Corporation Commission has promulgated necessary rules
21 within its jurisdiction. No grant shall be awarded absent a
22 specific legislative appropriation for that fiscal year.

23 B. Expenses that qualify for reimbursement under this section
24 are limited to expenses associated with:

1 1. The United States Nuclear Regulatory Commission's review of
2 the construction permit or license application;

3 2. Procurement and development of long-lead components; or

4 3. Construction activities, including the manufacture,
5 fabrication, quality assurance, placement, erection, installation,
6 modification, inspection, or testing of an advanced nuclear project.

7 C. To be eligible for a reimbursement grant under this section,
8 an applicant must provide with an application proof of incurred
9 expenses described by subsection B of this section.

10 D. A grant provided under this section may not exceed the
11 lesser of:

12 1. Fifty percent (50%) of the amount of qualifying expenses
13 associated with the project; or

14 2. One Hundred Twenty Million Dollars (\$120,000,000.00).

15 E. The Office by rule shall establish procedures for the
16 application for and provision of a grant under this section.

17 F. The Office may not provide a reimbursement grant for a
18 project under this section until the Regulatory Commission has
19 docketed a construction permit or license application for the
20 project.

21 G. The Office by rule shall establish a process to distribute
22 the proceeds of each grant awarded under this section to the grant
23 recipient on a rolling basis for qualifying expenses. The process
24 shall include milestones associated with:

1 1. The Regulatory Commission's permitting process; and

2 2. The recipient's financial investment decisions relating to
3 the project.

4 SECTION 10. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section 10.19 of Title 74, unless there
6 is created a duplication in numbering, reads as follows:

7 A. The Oklahoma Advanced Nuclear Energy Office may provide a
8 grant, subject to the availability of funds specifically
9 appropriated by the Legislature, pursuant to this act for the costs
10 associated with the completion of an operational advanced nuclear
11 reactor in this state that is interconnected with the regional
12 transmission operator power grid. However, grants may not be
13 awarded until the regulatory framework required by Section 2 of this
14 act has been completed and submitted and the Oklahoma Corporation
15 Commission has promulgated necessary rules within its jurisdiction.
16 No grant shall be awarded absent a specific legislative
17 appropriation for that fiscal year.

18 B. The Office, in consultation with the Oklahoma Corporation
19 Commission, by rule shall establish the amount of a grant the Office
20 shall provide under this section on a per megawatt basis according
21 to the generation capacity of the advanced nuclear reactor.

22 C. The Office, in consultation with the Oklahoma Corporation
23 Commission, by rule shall establish procedures for:

24 1. The application for and award of a grant under this section;

1 2. The administration of the grant program; and

2 3. Providing grants according to a tiered system based on the
3 amount of electricity in megawatts provided to the regional
4 transmission operator grid by an advanced nuclear reactor.

5 SECTION 11. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 10.20 of Title 74, unless there
7 is created a duplication in numbering, reads as follows:

8 The Oklahoma Advanced Nuclear Energy Office shall evaluate each
9 application for a grant pursuant to this act based upon the
10 project's potential benefit to this state and the grant applicant's:

11 1. Quality of services and management;

12 2. Efficiency of operations;

13 3. Access to resources essential for operating the project for
14 which the grant is requested, such as land, water, and reliable
15 infrastructure, as applicable;

16 4. Application for or docketing of a permit or license with the
17 United States Nuclear Regulatory Commission; and

18 5. Ability to repay the grant if project benchmarks are not
19 met.

20 SECTION 12. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 10.21 of Title 74, unless there
22 is created a duplication in numbering, reads as follows:

1 Information submitted to the Oklahoma Advanced Nuclear Energy
2 Office in an application for a grant pursuant to this act is
3 confidential and not subject to disclosure.

4 SECTION 13. This act shall become effective November 1, 2026.

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6 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
7 03/05/2026 - DO PASS, As Amended and Coauthored.
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